Two Nobel laureates. $4.6 billion gone in under four months.

Long-Term Capital Management, 1998.

John Meriwether launches LTCM.

$1B+

starting capital, first trading day

The partners include two future Nobel winners.

> Myron Scholes and Robert Merton shared the 1997 Nobel Prize in Economics.

The early years look unbeatable.

- **Year 1** about 21%
- **Year 2** about 43%
- **Year 3** about 41%

Then the borrowing.

EQUITY

$4.7B

BORROWED

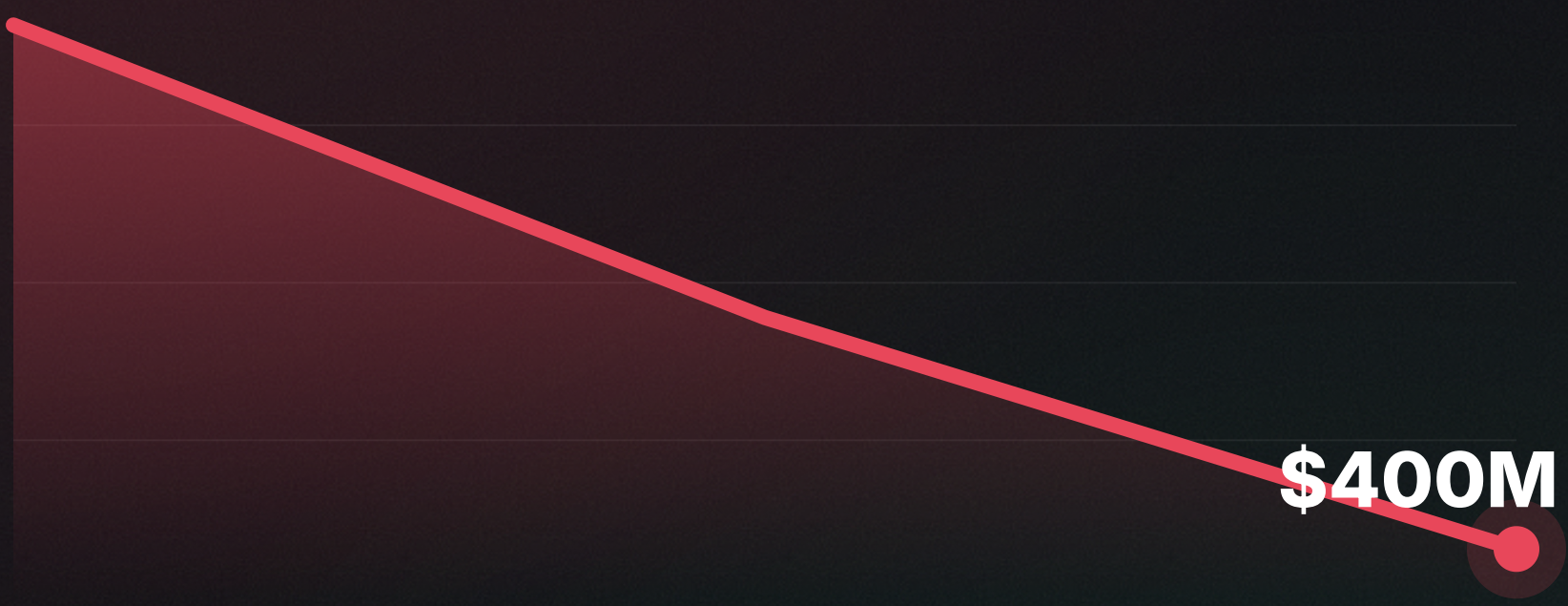
$124.5B+

More than 25 to 1.

Aug 17, 1998: Russia defaults.

> Trades that 'couldn't' move together all moved together.

Equity, melting.



Approximate equity as widely reported; only these three points charted.

The rescue.

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institutions, about $3.6B, gathered by the New York Fed

> Bear Stearns declined to join.

YOUR MOVE

Before you borrow:

1. Ask: how many bad months can I survive?
2. Assume 'unrelated' risks move together
3. Keep a cash buffer no model can touch

Share with your team ↓